

Research in 2013 from Fidelity¹⁸⁶ noted the specifics of secular markets:

- **Average secular bull market** lasted 21.2 years and produced a total (annual) return of 17.2% in nominal terms and 15.9% in real terms. The market's P/E more or less doubled, from 10.1 at the start to 20.5 at the end.
- **Average secular bear market** lasted 14.5 years and had a nominal total return of +1.0% and a real return of −2.3%. The market's P/E compressed by an average of 9 points, from 20.5 at the start to 11.3 at the end.

Those are great guidelines, even if every bull or bear market is somewhat different.

In 2014, I explained that if historical patterns hold true, the new secular bull market could last much longer—another decade or more.¹⁸⁷ A decade later, that proved prescient, but the same logic still holds: Underestimate secular cycles at your peril.



Now that you understand secular markets, let's consider cyclical ones—the shorter counter-trend moves that confound so many investors.

[182](#)

The 1982–2000 era is worthy of its own book. My favorite is Maggie Mahar's, *Bull: A History of the Boom and Bust*. The patterns she describes regularly repeat.

[183](#) Sometimes there are false starts. The 1966–1982 era looked like it was over in 1980, only to see a 28% slide to the 1982 lows. This is a very imprecise science.

[184](#) Carmen M. Reinhart and Kenneth S. Rogoff, “Is the 2007 U.S. Sub-Prime Financial Crisis So Different? An International Historical Comparison,” *The American Economic Review*, Vol. 98, No. 2 (January 14, 2008). See also: Barry Ritholtz, “5 Historical Economic Crises and the U.S.” *The Big Picture* (February 9, 2008).

[185](#) Stephen J. Dubner, “When Barry Ritholtz Talks, People Listen,” *Freakonomics* (March 11, 2009).

[186](#) Jurrien Timmer, “Is the secular bear market ending for stocks?” *Fidelity Viewpoints* (January 27, 2013).

[187](#) Barry Ritholtz, “Significance of secular market should not be underestimated,” *The*